EDUCATIONAL ANALYSIS

Wealth Strategy Snapshot

2026 Tax Year Planning | Prepared for Richard Harris | March 2026

Educational scenario modeling for discussion with licensed professionals

SECTION 01

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile as a W-2 employee with a side business LLC and existing rental real estate. With a combined marginal rate of approximately 30.4% (24% federal + 6.37% New Jersey), there are several strategies worth exploring to reduce your current tax burden, accelerate debt paydown, and position capital for future wealth building — including your stated goal of entering short-term rental property management.

This snapshot incorporates **One Big Beautiful Bill Act (OBBBA)** provisions signed July 4, 2025, including 100% bonus depreciation for qualifying property acquired after January 19, 2025, the $40,000 SALT cap, permanent QBI deduction, and expanded Section 179 limits.

Based on the strategies modeled in this document, this snapshot models potential first-year value ranging from **$52,948 (conservative scenario)** to **$280,405 (aggressive scenario including future real estate acquisition)**. Implementation of any strategy should be verified with your CPA and licensed financial advisor. All values shown are illustrative estimates using 2026 IRS limits per Rev. Proc. 2025-32.

SECTION 02

Current Financial Position

Name / Age	Richard Harris, Age 50, Single
Location	Sayreville, New Jersey
Primary Income	W-2 Employee (Construction Project Manager) — $100,000–$149,000
Side Business	Single-Member LLC (sole prop, est. 8+ years) — Under $25,000/yr
Est. Marginal Rate	~30.4% combined (24% federal + 6.37% NJ state)
Filing Status	Single, no dependents

Real Estate	1 four-unit investment property (personal name) — $50,000–$80,000 equity — Long-term rentals (12+ mo. leases) — $1,350/mo net cash flow (when all units paying)
Primary Residence	Lives with family — own home with moderate equity ($25K–$100K)
Debt	$63,000 in credit card debt (rehab costs) — most at 0% promo, paying high-rate balances first — Monthly payment: $2,100 — Emergency fund: under $5,000
Credit Score	680–719 (improving)
Liquid Capital	$100,000–$249,000 (Q26) — Comfortable deploying: $5,000–$10,000 (Q45)
Retirement Status	Contributing to employer 401(k), not maxed — Contributing to Roth IRA directly (under income limit) — No HSA (no HDHP)
Home Office	Dedicated area (not full room)
Vehicle	2010 Toyota Camry — used occasionally for business (under 25%)
Risk Tolerance	Moderate (balanced growth and stability)
Time Available	10–15 hours/week
Goals	Reduce W-2 taxes via STR purchase — Learn STR co-hosting/management part-time — Pay off $63K CC debt — Build emergency fund then save for STR down payment
Professional Team	CPA (proactive) — Enrolled in Prime + Incite (taxes) + Fundability programs

Key Client Questions (from intake):

1. STR management course guidance for pre-purchase education
2. Entity restructuring: new LLC for 4-unit property vs. existing LLC as operating entity
3. Debt payoff optimization for $63K CC balance

SECTION 03

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

WEEK 1

W-4 & Withholding Review — Discuss with CPA: adjusting W-4 to reflect business deductions may increase monthly take-home pay. Confirm whether 2025 Roth IRA contribution was maximized at $8,000 (age 50 catch-up) before April 15, 2026 deadline.

Debt Payoff Sequencing — Discuss with CPA: confirm optimal payoff order (highest-rate first) and whether any restructuring options exist for the $63K balance.

WEEK 2

Entity Restructuring Discussion — Consult attorney: creating a new LLC for the 4-unit property and designating your existing 8-year-old LLC as the operating entity. Discuss title transfer mechanics, mortgage due-on-sale clause implications, and NJ LLC filing costs.

Solo 401(k) Research — For 2026 employee deferrals, the plan must be established by December 31, 2026. Explore no-fee custodians (Fidelity, Schwab). Discuss with CPA whether current side-business income supports meaningful contributions.

WEEK 3

Augusta Rule Preparation — Document fair market rental value of home for business-use days. Establish written rental agreement between personal use and LLC. Discuss number of qualifying business-use days with CPA (maximum 14 days per §280A).

Home Office Documentation — Photograph dedicated workspace area. Calculate square footage percentage. Discuss with CPA whether simplified method ($5/sq ft, max 300 sq ft) or actual expense method provides greater benefit.

WEEK 4

STR Education Path — Research co-hosting and property management courses/certifications. Rich's construction PM background transfers well to STR management. Begin networking with local STR operators for co-hosting opportunities.

Investment Scenario Discussion — Schedule consultation with licensed financial advisor to discuss portfolio allocation concepts outlined in Section 7. Review cost segregation feasibility on existing 4-unit with CPA (lookback study potential). Note: under OBBBA, 100% bonus depreciation applies to cost-seg reclassified components for property acquired after January 19, 2025.

SECTION 03.5

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

Strategy	2025 Limit	Deadline	Your Opportunity
Roth IRA	$7,000 + $1,000 catch-up (age 50) = $8,000	April 15, 2026	Verify with CPA if 2025 contribution was maximized. If not, contribute difference before deadline.
HSA	$4,300 individual (+ $1,000 if 55+)	April 15, 2026	Not applicable — no HDHP currently enrolled.
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	If Solo 401(k) plan was established before Dec 31, 2025, employer contributions may still be made. Discuss with CPA.
SEP IRA	25% of compensation, up to $69,000	Tax filing + extensions	Alternative if Solo 401(k) was not established for 2025. Discuss with CPA.

No Longer Available for 2025: Employee 401(k) deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

SECTION 04

2026 Tax Optimization Strategies to Explore

Strategy Concept: W-2 401(k) Maximization

Potential Value: $6,080 – $6,840 in modeled tax savings

What It Is: Increasing your employer 401(k) deferrals toward the 2026 maximum of $24,500 plus the $8,000 catch-up contribution (age 50) = $32,500 total employee deferral. At a ~30.4% marginal rate, each additional $1,000 deferred models ~$304 in tax reduction.
How It Works:

1. Contact HR/payroll to increase deferral percentage — target $32,500 for 2026
2. Contributions reduce taxable W-2 income dollar-for-dollar
3. Employer match (if available) adds additional value at no tax cost to you

Eligibility Criteria: W-2 employee with employer-sponsored 401(k) plan; age 50+ for $8,000 catch-up.

Verify your plan's catch-up provisions and maximum deferral with HR. 2026 limits shown per Rev. Proc. 2025-32. SECURE 2.0 note: if your 2025 FICA wages exceeded $150,000 from the same employer, catch-up contributions must be Roth for 2026 — discuss with CPA.

Strategy Concept: Solo 401(k) Employer Contribution (Side Business)

Potential Value: $1,064 – $1,398 in modeled tax savings

What It Is: A retirement plan for your LLC side business allowing employer-side contributions of 25% of net self-employment income. With ~$18,000 net SE income (estimated), this models an employer contribution of ~$3,500–$4,600.
How It Works:

1. Establish Solo 401(k) plan by December 31, 2026 (for 2026 employee deferrals)
2. Employee deferrals: coordinate with W-2 401(k) — combined limit of $32,500 across all plans
3. Employer contribution (25% of net SE income) is separate and additional

Eligibility Criteria: Self-employment income via LLC; no full-time employees (spouse exception). Plan must be established before December 31, 2026 for employee contributions; employer contributions extend to tax filing deadline.

Combined employee deferrals across W-2 401(k) and Solo 401(k) cannot exceed $32,500 for 2026 (age 50). Employer portions are calculated separately. Verify with CPA. 2026 limits shown.

Strategy Concept: Augusta Rule (IRC §280A)

Potential Value: $1,216 – $2,979 in modeled tax savings

What It Is: Under §280A, a personal residence may be rented for up to 14 days per year without reporting the rental income. Your LLC can rent your home for legitimate business meetings, strategy sessions, or planning days at fair market value — creating a business deduction for the LLC while generating tax-free income personally.

How It Works:

1. Document fair market rental value (research comparable event space rates in Sayreville, NJ area — typically $500–$700/day)
2. Execute written rental agreement between yourself and your LLC
3. Conduct legitimate business activities on rental days; maintain documentation (agendas, meeting notes, attendee records)

Eligibility Criteria: Active business entity (your LLC qualifies); personal residence; 14 days or fewer; bona fide business purpose; documented fair market value.

Augusta Rule requires thorough documentation. Discuss FMV determination and documentation requirements with CPA. 2026 tax year.

Strategy Concept: Home Office Deduction

Potential Value: $456 – $760 in modeled tax savings

What It Is: A deduction for the business-use portion of your home. You indicated a dedicated area (though not a full room). The simplified method allows $5 per square foot up to 300 sq ft ($1,500 max deduction). At ~30.4% rate, this models $456 in tax savings. The actual expense method may yield more depending on your home costs.

How It Works:

1. Measure dedicated workspace square footage
2. Choose simplified ($5/sq ft, max 300 sq ft) or actual expense method
3. Space must be used regularly and exclusively for business

Eligibility Criteria: Regular and exclusive business use; dedicated space (you indicated a dedicated area). As a W-2 employee with a side business, the deduction applies to the LLC/side business income only.

Photograph and document workspace. "Regular and exclusive" use is key — discuss with CPA whether your dedicated area meets IRS requirements. 2026 tax year.

Strategy Concept: Vehicle Expense Deduction (72.5¢/mile for 2026)

Potential Value: $661 – $1,102 in modeled tax savings

What It Is: Business mileage driven for your LLC can be deducted at the 2026 standard rate of 72.5¢ per mile. You indicated occasional business use (under 25%). Modeling 3,000–5,000 business miles yields a deduction of $2,175–$3,625, with tax savings of $661–$1,102 at ~30.4%.
How It Works:

1. Begin tracking all business miles using a mileage log app (MileIQ, Everlance, etc.)
2. Business miles include: trips to rental property, LLC meetings, supply runs, professional consultations
3. Commuting miles (home to W-2 job) do NOT qualify

Eligibility Criteria: Business-purpose miles for LLC activity; contemporaneous mileage log required. Standard mileage rate must be elected in the first year the vehicle is used for business (or actual expense method selected).

Mileage logs are the most commonly audited deduction item — maintain contemporaneous records. 2026 rate: 72.5¢/mile. Verify with CPA.

Strategy Concept: Qualified Business Income (QBI) Deduction — §199A

Potential Value: $126 – $628 in modeled tax savings

What It Is: The QBI deduction allows a 20% deduction on qualified business income from pass-through entities, including single-member LLCs. This deduction was made permanent by the OBBBA (signed July 4, 2025). Your LLC's net Schedule C profit after business deductions is eligible for this deduction.

How It Works:

1. Calculate net qualified business income from LLC (Schedule C profit after all business deductions including home office, vehicle, and Augusta Rule rent paid by LLC)
2. Deduction = 20% of QBI (subject to taxable income limitations, which are not a factor at your income level)
3. Deduction is taken on Form 1040 as an above-the-line deduction — reduces taxable income but not AGI

Eligibility Criteria: Pass-through business income (your LLC qualifies); income must be below the threshold for specified service trade or business limitations ($197,300 single for 2026). Property management and construction consulting are generally not SSTBs.

Modeled Calculation: Conservative scenario: ~$18,000 gross SE income minus ~$7,675 business deductions = ~$10,325 QBI × 20% = ~$2,065 deduction × 30.4% rate = ~$628 tax savings. Aggressive scenario: ~$18,000 minus ~$15,925 in deductions (higher Augusta, vehicle, home office) = ~$2,075 QBI × 20% = ~$415 deduction × 30.4% = ~$126 tax savings. Note: the aggressive scenario yields a smaller QBI deduction because more business deductions reduce the qualified business income base.

QBI deduction is made permanent under OBBBA. Verify calculation with CPA — QBI is computed after all applicable Schedule C deductions. The deduction interacts with other strategies in this document. 2026 tax year.

Strategy Concept: Roth IRA Maximization

Potential Value: $8,600 positioned for tax-free growth

What It Is: At age 50, the 2026 Roth IRA limit is $7,500 + $1,100 catch-up = $8,600. You indicated your income is below the direct Roth contribution limit. Roth contributions grow tax-free and provide tax-free withdrawals in retirement — a valuable long-term wealth-building vehicle.
How It Works:

1. Contribute up to $8,600 for 2026 (can be spread across the year or lump sum)
2. Deadline: April 15, 2027 for 2026 contributions
3. No tax deduction today, but all growth and qualified withdrawals are tax-free

Eligibility Criteria: MAGI under $153,000 (single) for full contribution in 2026. Phase-out range: $153,000–$168,000. If income exceeds this, Backdoor Roth conversion may apply — discuss with CPA.

Verify income limits and contribution eligibility with CPA. If MAGI approaches $153K with side business income, discuss Backdoor Roth. 2026 limits shown per IRS Notice 2025-67.

Strategy Concept: Cost Segregation Study (Existing 4-Unit LTR)

Potential Value: $0 (conservative) – $4,924 (aggressive) in modeled tax savings

What It Is: A cost segregation study reclassifies building components into shorter depreciation periods (5, 7, or 15 years instead of 27.5 years), accelerating depreciation deductions. A lookback study can be performed on property already placed in service. However, passive losses from rental property are generally limited to offsetting passive income only unless REPS criteria are met.

Important OBBBA Note: For the existing 4-unit property (acquired before January 19, 2025), TCJA phase-down rates apply to the lookback study (20% bonus depreciation for 2026 on components placed in service before Jan 20, 2025). However, for any future STR acquisition after January 19, 2025, OBBBA provides 100% bonus depreciation on cost-seg reclassified components — a significantly more powerful benefit (see Section 05).

How It Works:

1. Commission a cost segregation study on your 4-unit property (typical cost: $3,000–$7,000)
2. File Form 3115 (change in accounting method) to claim catch-up depreciation
3. Accelerated depreciation creates larger passive losses — offset against ~$16,200 annual rental income

Eligibility Criteria: Property owner with depreciable real estate. For losses to offset W-2 income, Real Estate Professional Status (REPS) is typically required — 750+ hours and majority of time in RE activities. Without REPS, passive losses offset passive income only.

Cost seg creates passive losses. Without REPS, these only offset rental income. Discuss ROI of study vs. available passive income with CPA. 2026 tax year.

Strategy Concept: SALT Deduction (OBBBA — Increased to $40,000)

Potential Value: Varies — itemization analysis required

What It Is: The One Big Beautiful Bill Act raised the state and local tax (SALT) deduction cap from $10,000 to $40,000. For New Jersey residents who pay substantial state income tax and property taxes, this may make itemizing deductions more advantageous than the $16,100 standard deduction.

How It Works:

1. Calculate total NJ state income tax paid (~$6,000–$8,000 on your income) plus property taxes on primary residence
2. Add mortgage interest and other itemizable deductions
3. Compare total itemized deductions vs. $16,100 standard deduction for single filers

Eligibility Criteria: Any taxpayer who itemizes deductions. The $40,000 SALT cap applies per return.

With NJ's relatively high state income tax (6.37% marginal) and property taxes, the increased SALT cap may benefit you. Discuss itemization analysis with CPA. 2026 tax year.

Strategy Concept: W-4 Optimization

Potential Value: $3,600 – $6,000 in modeled annual cash flow improvement

What It Is: Adjusting your W-4 withholding to account for business deductions (home office, vehicle, Augusta Rule, Solo 401(k), QBI) can reduce over-withholding and increase monthly take-home pay. This is not a tax savings — it's accessing your own money earlier rather than waiting for a refund.

How It Works:

1. Work with CPA to estimate total 2026 deductions from business strategies
2. Submit updated W-4 to employer reflecting additional deductions/credits
3. Monitor quarterly to avoid under-withholding penalties

Eligibility Criteria: Any W-2 employee with itemized deductions or business losses that reduce taxable income below standard withholding assumptions.

W-4 changes affect cash flow, not total tax liability. CPA should calculate safe harbor withholding to avoid penalties. 2026 tax year.

Primary Strategy Education: STR Path & Entity Restructuring

A. Short-Term Rental (STR) Management Path

Rich's stated primary goal is to reduce W-2 federal taxes through STR acquisition, with a deliberate approach: learning the STR co-hosting and property management business before purchasing. This "learn first, buy second" approach is commonly used by successful STR investors. Here is how the concept typically works:

Phase	Concept	Timeline Consideration
Phase 1: Education	STR co-hosting / property management for other owners. Builds operational knowledge with minimal capital. Service-based income adds to LLC revenue.	Months 1–12
Phase 2: Debt Elimination	$63K CC payoff continues ($2,100/mo + $1,350/mo rental profit = ~$3,450/mo toward debt). Once cleared, redirect to emergency fund and STR down payment savings.	Months 1–18 (est.)
Phase 3: Acquisition	Purchase first STR property ($350K–$400K range). Deploy cost segregation study in Year 1. **Under OBBBA, 100% bonus depreciation applies to cost-seg reclassified components for property acquired after January 19, 2025** — this significantly accelerates depreciation deductions compared to the previous phase-down schedule.	Months 18–30 (est.)
Phase 4: Tax Optimization	STR + cost segregation + 100% bonus depreciation combination is commonly used to generate significant Year 1 depreciation deductions. With material participation in a short-term rental (avg. stay < 7 days), losses may be classified as non-passive — potentially offsetting W-2 income. **Modeled example:** $375K property × 80% building basis = $300K. Cost seg reclassifies ~35% ($105K) at 100% bonus dep. Remaining $195K / 27.5 = $7,091/yr straight-line. Total Year 1 dep: ~$112,091. Tax benefit at 30.4%: ~$34,076.	Year 2+

STR tax treatment depends on average guest stay length, material participation hours, and documentation. The STR "loophole" (non-passive treatment for stays averaging under 7 days with material participation) has specific IRS requirements. OBBBA permanently restored 100% bonus depreciation for qualifying property acquired after Jan 19, 2025. Work with a qualified tax professional experienced in STR taxation to ensure compliance.

B. Entity Restructuring Concept

Rich currently holds a 4-unit investment property in his personal name and has an existing 8-year-old LLC. The concept of restructuring typically involves:

Entity	Purpose	Considerations
New LLC (Holding Entity)	Hold the 4-unit property for liability protection and asset separation	Transfer may trigger due-on-sale clause review by lender. Title transfer costs. NJ LLC annual fee. Discuss with attorney.
Existing LLC (Operating Entity)	Conduct all active business: property management, STR co-hosting, future STR operations	8-year history is valuable for credit/lending purposes. Keep as operating entity for future business activities.

Entity restructuring has legal, tax, and lending implications. The due-on-sale clause is a common concern when transferring mortgaged property to an LLC. Consult with both an attorney (for legal structure) and CPA (for tax treatment) before proceeding.

SECTION 06

Illustrative Portfolio Scenario

Educational Investment Scenario (Based on Profile Analysis)

Capital basis: Conservative scenario uses $7,500 (midpoint of Q45: $5K–$10K comfortable deploying). Aggressive scenario uses $175,000 (midpoint of Q26: $100K–$249K liquid capital). Given the $63K CC debt priority, the conservative deployment is more aligned with near-term reality; the aggressive scenario models future positioning once debt is cleared.
Profile assessment: Moderate risk tolerance (Q41), real estate and tax reduction goals (Q46), 10–15 hours/week available (Q44). This suggests a balanced Bitcoin-centric allocation with meaningful STRC for passive income and broad market diversification.

Asset Class	Scenario %	Conservative ($7,500)	Aggressive ($175,000)	Educational Rationale
Bitcoin	55%	$4,125	$96,250	Bitcoin serves as a core wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. 55% reflects a moderate allocation.
STRC	25%	$1,875	$43,750	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. Verify current yield at time of investment.
VTI / VOO	20%	$1,500	$35,000	VTI offers broad U.S. market exposure at low cost (0.03% expense ratio). VOO tracks the S&P 500 for large-cap equity diversification.

This scenario models one approach based on the moderate risk profile and growth/tax-reduction goals indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile and speculative. Historical yields shown are not guaranteed.

SECTION 07

Modeled First-Year Value Summary (2026 Tax Year)

Category	Item	Conservative	Aggressive	Notes
CATEGORY A: TAX OPTIMIZATION STRATEGIES				
Tax	W-2 401(k) Increase (~$20K–$22.5K additional × 30.4%)	$6,080	$6,840	Increase deferrals toward $32,500 max
Tax	Solo 401(k) Employer ($3,500–$4,600 × 30.4%)	$1,064	$1,398	25% of net SE income
Tax	Augusta Rule ($500/d×8d to $700/d×14d × 30.4%)	$1,216	$2,979	Up to 14 days; FMV documented
Tax	Home Office ($1,500–$2,500 deduction × 30.4%)	$456	$760	Dedicated workspace
Tax	Vehicle (3K–5K mi × 72.5¢/mi × 30.4%)	$661	$1,102	2026 mileage rate
Tax	QBI Deduction (20% of net Schedule C profit × 30.4%)	$628	$126	Made permanent under OBBBA; varies with deductions
Tax	Cost Seg on Existing LTR (passive offset)	$0	$4,925	Passive losses vs. $16.2K rental income
Tax Optimization Subtotal		**$10,105**	**$18,130**	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				
Income	STRC Yield ($1,875 × 10% / $43,750 × 12%)	$188	$5,250	Verify current yield at investment
Income	ETF Dividends ($1,500 × 1.5% / $35,000 × 2%)	$23	$700	VTI/VOO dividend yield

Investment Income Subtotal		**$211**	**$5,950**	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	Bitcoin ($4,125 × 25% / $96,250 × 50%)	$1,031	$48,125	Highly volatile — not guaranteed
Growth	STRC ($1,875 × 15% / $43,750 × 30%)	$281	$13,125	Bitcoin-correlated appreciation
Growth	VTI/VOO ($1,500 × 8% / $35,000 × 12%)	$120	$4,200	Historical avg; not guaranteed
Appreciation Subtotal		**$1,432**	**$65,450**	
CATEGORY D: REAL ESTATE (AGGRESSIVE ONLY — FUTURE STR ACQUISITION)				
RE	STR Annual Cash Flow (NOI)	$0	$30,000	After expenses; market dependent
RE	Property Appreciation (4.5% of $375K)	$0	$16,875	On $350K–$400K property (midpoint)
RE	Mortgage Principal Paydown (Year 1)	$0	$4,500	Equity build through amortization
Real Estate Subtotal		**$0**	**$51,375**	**Conservative = no RE acquisition**
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization (~$300–$500/mo × 12)	$3,600	$6,000	Reduced over-withholding from deductions
Cash Flow	Debt Interest Savings (accelerated payoff)	$1,500	$3,000	Redirecting freed interest to principal
Cash Flow Subtotal		**$5,100**	**$9,000**	
CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	W-2 401(k) Contributions (2026)	$20,000	$32,500	$24,500 + $8,000 catch-up (age 50)

Wealth	Solo 401(k) Employer Contribution	$3,500	$4,600	25% of net SE income
Wealth	Roth IRA (2026)	$8,600	$8,600	$7,500 + $1,100 catch-up (age 50)
Wealth	Augusta Rule Income Received (tax-free)	$4,000	$9,800	Personal income; not taxable under 14d
Wealth	RE Equity Position (STR down payment)	$0	$75,000	20% down on ~$375K property
Wealth Building Subtotal		**$36,100**	**$130,500**	
TOTAL MODELED FIRST-YEAR VALUE (2026)		**$52,948**	**$280,405**	

Important: *Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Tax savings calculated using ~30.4% combined marginal rate (24% federal + 6.37% NJ). Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32 and incorporate OBBBA provisions. Verify with your CPA. The aggressive scenario includes a future STR acquisition that may extend beyond 2026 depending on debt payoff timeline. Consult with your licensed professionals before implementation.*

SECTION 08

Calendar Awareness & Key Dates (2026)

Date	Item	Notes
April 15, 2026	Last day for 2025 Roth IRA / SEP IRA contributions	Verify 2025 Roth IRA max ($8,000) was contributed
Q2 2026	W-4 adjustment effective	Increased take-home pay begins after W-4 update
Q2–Q3 2026	Entity restructuring discussion	Attorney + CPA consultation on LLC structure
Oct 15, 2026	Extended deadline for 2025 Solo 401(k) employer contributions	If plan existed and extension filed

Dec 31, 2026	Solo 401(k) establishment deadline for 2026 employee deferrals	Plan must be in place before year-end
Dec 31, 2026	W-2 401(k) employee contributions for 2026	Verify payroll deferral is on track for $32,500 target
April 15, 2027	Last day for 2026 Roth IRA / HSA / SEP contributions	2026 Roth IRA: $8,600 (age 50)

Verify all deadlines with your tax professional. Dates assume standard filing; extensions may modify some deadlines.

SECTION 09

Questions for Your Professional Team

For Your CPA

> Based on my W-2 income (~$100–149K) and age (50), what are my maximum 2026 retirement contributions across all plans (W-2 401(k) + Solo 401(k))?

> Do I need to make my 2026 catch-up contributions as Roth due to the SECURE 2.0 high-earner provision? (Based on 2025 FICA wages from same employer.)

> Was my 2025 Roth IRA contribution maximized at $8,000? Can I still contribute the difference before April 15?

> What documentation do I need for the Augusta Rule? What is a defensible FMV for my area?

> Is a cost segregation lookback study on my 4-unit property worth the cost, given my passive income is ~$16,200/year?

> How should I optimize my W-4 withholding to reflect these business deductions without triggering under-withholding penalties?

> What is the best payoff strategy for the $63K CC debt — am I missing any opportunities to accelerate paydown?

> With the OBBBA SALT cap increase to $40,000, should I itemize deductions in 2026 given my NJ income tax and property taxes, or take the $16,100 standard deduction?

> What is my QBI deduction for 2026 based on estimated Schedule C profit after all business deductions?

For Your Attorney

> What is the process for transferring my 4-unit property from personal name to a new LLC? What are the NJ-specific considerations?

> Will the transfer trigger a due-on-sale clause review from my lender? How is this typically handled?

> Should my existing LLC (8 years old) become the operating entity for future STR management activities?

> What liability protection does an LLC provide for my rental property vs. holding it personally?

For a Licensed Financial Advisor

> Given my debt-first priority and moderate risk tolerance, how does the illustrative portfolio scenario in this document align with my overall financial goals?

> What is the appropriate sequencing: debt payoff → emergency fund → investment deployment? How much should be in emergency reserves before investing?

> How should I think about Bitcoin and STRC allocation within my overall retirement and investment strategy?

SECTION 10

Professional Team Considerations

Professional	Role in Implementation	Status
CPA / Tax Professional	Tax strategy verification, return preparation, W-4 optimization, cost seg ROI analysis, retirement contribution coordination, 2025 cleanup review, QBI calculation, SALT cap itemization analysis	Engaged (proactive — per intake). Also enrolled in Incite tax program.
Attorney	Entity restructuring (new LLC for property), operating agreement drafting, asset protection review, due-on-sale clause guidance	To be consulted for entity restructuring
Licensed Financial Advisor	Investment scenario discussion, risk assessment, portfolio implementation guidance, retirement planning coordination	To be consulted for investment implementation
Insurance Professional	Landlord/rental property coverage review, LLC coverage, HDHP evaluation (potential future HSA eligibility)	Review recommended — HDHP could unlock HSA ($4,400 individual for 2026)

SECTION 11

Milestone Considerations (2026–2027)

Timeframe	Milestone Consideration
Q1 2026	**2025 Tax Filing + Cleanup** — Maximize 2025 Roth IRA before April 15. File taxes with Incite team. Evaluate SEP IRA for 2025 SE income.
Q2 2026	**W-4 + Entity Restructuring** — Update W-4 withholding. Consult attorney re: LLC transfer. Begin Augusta Rule documentation. Run SALT cap itemization analysis with CPA.
Q3 2026	**STR Education + Debt Progress** — Begin co-hosting/management education. Target: ~50% of CC debt paid off. Review Fundability program progress (credit score improvement).
Q4 2026	**Retirement Plan Deadline** — Solo 401(k) must be established by Dec 31 for 2026 employee deferrals. Verify W-2 401(k) is on pace. Fund Roth IRA.
Q1–Q2 2027	**Debt-Free Target + Next Phase** — Target CC debt elimination. Begin building emergency fund (3–6 months expenses). Start saving for STR down payment. Review credit score for financing readiness.
Q3–Q4 2027	**STR Acquisition Readiness** — Evaluate STR markets. Get pre-qualified for investment property financing. Discuss cost seg timing with CPA for Year 1 acquisition — note: 100% bonus depreciation under OBBBA applies to property acquired after Jan 19, 2025.

Milestones are for planning awareness only. Actual timing depends on debt payoff progress, market conditions, and professional guidance. Review quarterly with your CPA.

SECTION 12

Educational Resources & 2026 Reference

2026 Contribution Limits Reference (per Rev. Proc. 2025-32)

Account Type	Base Limit	Catch-Up (50–54, 55–59, 64+)	Super Catch-Up (60–63)
401(k) Employee Deferral	$24,500	+ $8,000	+ $11,250
401(k) Total (Employee + Employer)	$72,000	+ $8,000	+ $11,250
HSA (Individual Coverage)	$4,400	+ $1,000 (age 55+)	N/A

HSA (Family Coverage)	$8,750	+ $1,000 (age 55+)	N/A
Traditional / Roth IRA	$7,500	+ $1,100	N/A
Business Mileage Rate	72.5¢ per mile (2026)		

Richard's Age-Specific Limits (Age 50, 2026)

Account	Your 2026 Maximum
W-2 401(k) Employee Deferral	$24,500 + $8,000 catch-up = $32,500
Solo 401(k) Employer (25% of SE income)	~$3,500–$4,600 (based on ~$18K net SE income)
Roth IRA	$7,500 + $1,100 catch-up = $8,600
HSA	Not eligible (no HDHP). If HDHP enrolled: $4,400 individual

OBBBA Key Provisions (Signed July 4, 2025)

Provision	Detail	Applies to Rich?
100% Bonus Depreciation	Permanently restored for qualifying property acquired after Jan 19, 2025	Yes — critical for future STR acquisition. Existing 4-unit (acquired pre-Jan 2025) uses TCJA phase-down.
SALT Cap $40,000	Increased from $10,000 to $40,000	Potentially — NJ has high state/property taxes. Discuss itemization analysis with CPA.
QBI Deduction Permanent	20% pass-through deduction made permanent	Yes — LLC income qualifies for QBI deduction.
Section 179 Expanded	$2,500,000 max (up from $1M), phase-out at $4M	Future potential for STR furniture/equipment.
Non-Itemizer Charitable Deduction	$1,000 single / $2,000 MFJ for cash contributions	If taking standard deduction, this provides a new above-the-line deduction for charitable giving.

SECURE 2.0 Act — Key 2026 Provisions

Provision	Detail	Applies to Rich?

Super Catch-Up (Ages 60–63)	$11,250 catch-up instead of $8,000	Not yet — age 50. Applies in 2036–2039.
Roth Catch-Up Mandate	If prior-year FICA wages > $150K from same employer, catch-up must be Roth	Likely not — W-2 income indicated $100–149K. Verify with CPA.
Student Loan Match	Employer can match student loan payments as 401(k) contributions	No student loans indicated.

IRS Resources (for reference)

Topic	IRS Resource
Home Office Deduction	IRS Publication 587
Retirement Plans for Small Business	IRS Publication 560
Rental Income & Expenses	IRS Publication 527
Depreciation	IRS Publication 946
Business Use of Car	IRS Publication 463
Roth IRA Contribution Limits	IRS.gov — "Amount of Roth IRA Contributions That You Can Make"

For educational reference only. Tax laws change regularly. Verify current rules at IRS.gov or with your tax professional.

Important Disclaimers

Educational Purpose: This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice.

Not Investment Advice: Legacy Investing Show and its staff are not registered investment advisers. This document does not recommend the purchase, sale, or holding of any security. Investment scenarios presented are illustrative models for educational purposes only. All investments carry risk including potential loss of principal.

Not Tax Advice: Tax strategies discussed are educational explanations of how certain provisions work. Eligibility, implementation, and actual tax outcomes depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation.

Not Legal Advice: Entity structure, asset protection, and partnership discussions are educational. Consult a qualified attorney for legal guidance specific to your situation.

No Guarantees: Projected values, potential savings, and scenario outcomes are illustrative estimates based on assumptions stated. Actual results will vary based on market conditions, tax law changes, and individual circumstances. Past performance does not guarantee future results.

Investment Risk Disclosure: All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of March 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

Limitation of Liability: Legacy Investing Show assumes no liability for actions taken based on information in this educational document. You are solely responsible for your financial decisions.